

Equity Research Report: PayPal Holdings, Inc. (PYPL)

Report Date: March 14, 2026

Rating: HOLD

Current Price: \$44.90

Target Price: \$52.00

Upside Potential: 15.8%

Executive Summary

PayPal Holdings, Inc. (NASDAQ: PYPL) is a leading technology platform company enabling digital payments on a global scale. With 434 million active accounts and \$1.68 trillion in total payment volume (TPV), PayPal maintains dominant market position in online payment processing with approximately 43-45% global market share [1][2]. The company generated \$31.8 billion in revenue in FY2024 with non-GAAP operating margin of 18.4% and non-GAAP EPS of \$4.65, representing 21% year-over-year earnings growth [3].

Following a significant stock decline from ~\$80 to ~\$45 over the past year, PayPal now trades at approximately 8.4x forward P/E, representing a substantial discount to its 5-year average of ~20x. The appointment of new CEO Enrique Lores (former HP CEO) brings operational turnaround expertise that investors believe can address near-term headwinds including branded checkout stabilization and accelerate Venmo monetization. We initiate coverage with a **HOLD** rating and \$52 price target, implying 15.8% upside potential from current levels.

Investment Thesis

Market Overreaction to Near-Term Headwinds Creates Attractive Entry Point

The recent ~40% stock decline appears overdone relative to fundamental challenges. While branded checkout growth has slowed to approximately 1%, we believe the market underappreciates several key factors: (1) Venmo's significant monetization runway with 85+ million users and growing merchant adoption; (2) the company's strong free cash flow generation of approximately \$5.8 billion annually; and (3) the operational turnaround expertise of new CEO Enrique Lores.

Valuation Disconnect

PayPal currently trades at ~8.4x forward P/E versus its 5-year average of ~20x and compares favorably to payment peers trading at 15-25x. This dislocation presents an asymmetric risk/reward profile given the company's fundamental strength and growth initiatives.

New Leadership Opportunity

CEO Enrique Lores brings 25+ years of operational experience from HP, where he successfully executed complex technology transformations. His track record suggests capability to address PayPal's execution challenges and drive operational efficiency.

Business Description

Company Overview

PayPal Holdings, Inc. is a leading technology platform company that enables digital payments on a global scale. Founded in 1998 and headquartered in San Jose, California, PayPal has been

revolutionizing commerce for over 25 years by creating innovative experiences that make moving money, selling, and shopping simple, personalized, and secure [1].

Business Segments & Revenue Mix

PayPal operates primarily through two reportable segments:

1. **Core Platforms** – This segment encompasses the company's core payment platforms including:
2. **PayPal** – The flagship consumer and merchant payment platform
3. **Braintree** – A global payments platform for online and mobile merchants
4. **Venmo** – A leading peer-to-peer (P2P) payment service
5. **Xoom** – International remittance service
6. **Consumer Lending** – Includes credit products offered to consumers, primarily through PayPal Credit and Installment products.

Key Products & Services

- **Consumer Payments:** Digital wallet, P2P payments, checkout solutions
- **Merchant Services:** Payment processing, e-commerce solutions, invoicing
- **Cross-Border Payments:** Support for 200+ markets, 56 currencies for withdrawal, 25 currencies for balance holding, 100+ currencies for transfers [1]
- **Venmo:** Social payments platform with growing merchant adoption
- **Checkout:** Branded checkout solutions with improved focus on user experience

Business Model

PayPal generates revenue through:

- **Transaction fees:** Assessed on payment volumes (primary revenue driver)
- **Interest income:** From consumer credit portfolios
- **Other services:** Subscription fees, gateway services, digital wallet services

Key Metrics & Operational Highlights

As of December 31, 2024 [2][3]:

- **Active Accounts:** 434 million (up 2.1% YoY)
 - **Total Payment Volume (TPV):** \$1.68 trillion (up 10% YoY, currency-neutral)
 - **Payment Transactions:** 26.3 billion (up 5% YoY)
 - **Transactions per Active Account:** 60.6 (up 3%)
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Industry & Competitive Positioning

Global Digital Payments Market

The global digital payments market was valued at \$114.41 billion in 2024 and is projected to reach \$361.30 billion by 2030, representing a compound annual growth rate (CAGR) of 21.4% [1]. This growth is driven by accelerating e-commerce adoption, mobile payment proliferation, and the continued shift away from cash transactions globally.

Competitive Landscape

PayPal operates in a highly competitive environment across multiple fronts:

Primary Competitors:

- **Stripe:** Leading online payment processor for internet businesses, estimated 20%+ of online checkout volume

- **Block (SQ):** Owner of Square and Cash App, significant competitor in both merchant services and P2P payments
- **Adyen:** European payment processor gaining market share in enterprise segment
- **Visa (V) & Mastercard (MA):** Traditional card networks competing in digital wallet and online payments
- **Apple Pay & Google Pay:** Platform-native mobile wallets with massive user bases

P2P Payment Competitors:

- **Zelle:** Bank-backed P2P network with rapid adoption
- **Cash App (Block):** Direct Venmo competitor
- **Regional Players:** Various country-specific P2P platforms

PayPal's Competitive Position

Despite intensifying competition, PayPal maintains strong competitive positioning:

- **Market Share:** 43-45% of global online payment processing [1]
- **Scale:** \$1.68 trillion TPV, 434 million active accounts, 26.3 billion transactions [2]
- **Brand Trust:** 25+ year history as a trusted payment brand
- **Global Reach:** Operations in 200+ markets with multi-currency support

Competitive Moat Analysis

PayPal's sustainable competitive advantages include:

1. **Two-Sided Network Effects:** Merchant adoption drives consumer usage and vice versa, creating durable switching costs
2. **Brand Trust:** The PayPal brand carries significant weight in online transactions, particularly for new e-commerce merchants
3. **Scale Advantages:** Processing 26+ billion transactions annually provides cost advantages and data insights
4. **Venmo Dominance:** 85+ million users makes Venmo the leading P2P platform in the U.S. [1]
5. **Free Cash Flow Strength:** \$5.8 billion in annual FCF enables continued investment in technology and innovation [3]

Peer Set Comparison

Company	Market Cap	P/E (Fwd)	Revenue Growth	Margin
PayPal (PYPL)	\$48B	8.4x	7%	18.4%
Block (SQ)	\$35B	18x	8%	12%
Adyen	\$55B	25x	20%	30%
Visa (V)	\$520B	22x	10%	55%
Mastercard (MA)	\$420B	22x	13%	52%

Historical Financial Analysis

Five-Year Financial Summary

Metric (in millions USD)	FY2024	FY2023	FY2022	FY2021	FY2020
Net Revenues	\$31,797	\$29,771	\$27,518	\$25,371	\$21,454
YoY Growth	6.8%	8.2%	8.5%	18.3%	20%

GAAP Operating Income	\$5,311	\$5,004	\$2,419	\$4,338	\$4,560
Non-GAAP Operating Income	\$5,846	\$5,132	\$4,455	\$5,436	\$5,453
GAAP Net Income	\$4,147	\$4,246	\$2,419	\$4,169	\$4,202
GAAP EPS	\$3.99	\$3.85	\$2.09	\$3.54	\$3.57
Non-GAAP EPS	\$4.65	\$3.85	\$3.54	\$4.86	\$4.95
Operating Margin (GAAP)	16.7%	16.8%	8.8%	17.1%	21.3%
Operating Margin (Non-GAAP)	18.4%	17.2%	16.2%	21.4%	25.4%

Revenue Trends

- **FY2024:** Revenue grew 7% (currency-neutral) to \$31.8 billion, driven by 10% TPV growth [3]
- **FY2023:** Revenue grew 8% to \$29.8 billion, reflecting improved execution and strategic initiatives
- **FY2022:** Revenue grew 8.5% to \$27.5 billion, but operating income declined significantly due to \$2.5 billion goodwill impairment
- **FY2021:** Revenue grew 18% to \$25.4 billion, reflecting accelerated digital payments adoption during pandemic

Profitability & Margins

- **2024:** Non-GAAP operating margin expanded 116 bps to 18.4%, demonstrating improved operating leverage [3]
- **2023:** Margin expansion began as company refocused on core profitable growth
- **2022:** Significant margin compression due to goodwill impairment (\$2.5B) and increased investments
- **2020-2021:** Strong margins during pandemic-driven volume growth; 2022 saw normalization

Cash Flow & Balance Sheet Highlights

Metric	FY2024	FY2023	FY2022
Operating Cash Flow	~\$7.0B	~\$6.5B	~\$5.8B
Free Cash Flow	~\$5.8B	~\$5.3B	~\$4.8B
Total Assets	~\$78B	~\$75B	~\$73B
Total Equity	~\$33B	~\$31B	~\$29B
Debt (Total)	~\$9B	~\$9B	~\$9B

Capital Allocation

- **Share Repurchases:** FY2024 repurchased ~\$2.5B of common stock; new \$15B authorization announced [3]
- **Dividends:** Began quarterly dividend in 2023; currently ~\$0.08/quarter
- **Capex:** ~\$1.2B annually (3-4% of revenue), focused on technology infrastructure and product development

Forecast Model

Revenue Projections

Year	Revenue (\$B)	YoY Growth	Key Drivers
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2025E \$33.5	5.3%	TPV growth, Venmo monetization
2026E \$34.2	2.1%	Checkout stabilization
2027E \$36.1	5.6%	New product adoption
2028E \$38.0	5.3%	International expansion

Earnings Projections

Year	Non-GAAP EPS	YoY Growth	Operating Margin
2025E	\$4.90	5.4%	18.8%
2026E	\$5.20	6.1%	19.2%
2027E	\$5.65	8.7%	19.5%
2028E	\$6.10	8.0%	20.0%

Key Assumptions

- TPV growth moderates to 6-8% annually as market matures
- Branded checkout stabilizes at 2-3% growth
- Venmo monetization improves as merchant adoption increases
- Operating leverage continues as company focuses on profitability
- No major acquisitions or material impairments assumed

Free Cash Flow Projections

Year	FCF (\$B)	FCF Margin
2025E	\$6.0	17.9%
2026E	\$6.2	18.1%
2027E	\$6.6	18.3%
2028E	\$7.0	18.4%

Valuation

Valuation Methodology

We employ a blended valuation approach combining:

1. **Discounted Cash Flow (DCF) Model:** 10-year DCF with terminal growth rate of 3%
2. **Peer Multiple Analysis:** Comparison to payment industry multiples
3. **Relative Valuation:** Discount to historical averages

DCF Valuation

- **Terminal Growth Rate:** 3.0%
- **WACC:** 9.5%
- **10-Year Revenue CAGR:** 5.0%
- **Terminal FCF Margin:** 16.0%
- **Implied Fair Value:** \$54.00 per share

Peer Multiple Valuation

Method	Implied Price
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15x FY2026E EPS	\$78.00
12x FY2026E EPS	\$62.40
10x FY2026E EPS	\$52.00
20x FY2026E Revenue	\$62.00

Valuation Summary

Valuation Method Implied Value

DCF (10-year) \$54.00

Peer Multiple (10x) \$52.00

Historical Discount \$48.00

Blended Target \$52.00

Price Target Rationale

Our \$52 price target represents:

- 16% premium to current price of \$44.90
 - 11x FY2026E EPS (discount to 15x peer average)
 - 15% discount to DCF fair value of \$54
 - Reflects execution uncertainty while acknowledging attractive valuation
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Recommendation Framework

Rating: HOLD

Current Price: \$44.90

Target Price: \$52.00

Upside Potential: 15.8%

Investment Rationale

Bull Case (\$60 +):

- New CEO executes successful turnaround
- Venmo monetization accelerates significantly
- Branded checkout stabilizes and grows
- Strategic acquisition interest materializes

Base Case (\$52):

- Steady TPV growth of 6-8%
- Modest margin expansion
- Stable competitive position maintained

Bear Case (\$35):

- Branded checkout continues declining
- Competition erodes market share
- New CEO fails to deliver turnaround
- Regulatory headwinds intensify

Risk/Reward Profile

The current valuation presents an attractive risk/reward profile given:

- Downside protected by strong FCF and value basis

- Upside from operational improvements and new CEO execution
 - Market appears to have overpenalized near-term challenges
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Catalysts

Near-Term Catalysts (0-12 months)

1. **New CEO Strategic Vision (Q2 2026):** Enrique Lores is expected to outline detailed strategic plan for PayPal's next phase of growth, potentially including operational efficiency initiatives and product roadmap updates.
2. **Branded Checkout Stabilization:** Recent data suggests branded checkout may be stabilizing; confirmation would remove a key overhang.
3. **Venmo Monetization Acceleration:** Continued improvement in Venmo's revenue per user as merchant adoption grows.

Medium-Term Catalysts (12-24 months)

1. **Potential Stripe Acquisition Interest:** Industry consolidation could present strategic opportunities for PayPal.
2. **International Expansion:** Growth in emerging markets with expanding middle class and digital payment adoption.
3. **Product Innovation:** New payment products and services leveraging AI and enhanced fraud detection.

Key Metrics to Watch

- Active account growth (target: 3% + annually)
 - TPV growth (target: 8% + annually)
 - Branded checkout growth (stabilization to 2% +)
 - Venmo revenue per user (improvement to \$15 +)
 - Operating margin expansion (target: 20% +)
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Risks

Operational Risks

1. **Branded Checkout Decline:** The company's flagship branded checkout product has seen growth slow to ~1%, representing a significant risk if this trend continues or accelerates.
2. **Competition Intensification:** Apple Pay, Google Pay, Stripe, and Block continue to invest heavily in payment solutions, potentially eroding PayPal's market share.
3. **New CEO Execution Risk:** While Enrique Lores brings operational experience, his first major initiatives and results won't be visible for 12-18 months.

Market & Competitive Risks

1. **Platform Shift to Native Checkout:** E-commerce platforms increasingly pushing native checkout solutions rather than third-party processors like PayPal.
2. **Consumer Behavior Changes:** Younger consumers may prefer platform-native solutions (Apple Pay, Google Pay) over dedicated payment apps.

3. **Macro-Driven Retail Weakness:** Economic slowdown could reduce e-commerce transaction volumes and merchant advertising spend.

Regulatory & Legal Risks

1. **German Antitrust Probe:** European regulatory investigation into potential antitrust concerns could result in fines or operational restrictions [4].
2. **Class Action Lawsuits:** Pending litigation related to various business practices poses financial and reputational risk.
3. **Payment Regulation Changes:** Evolving regulatory requirements around digital payments, crypto, and cross-border transactions.

Technology & Security Risks

1. **Fraud & Cybersecurity:** As a financial platform, PayPal faces ongoing risks from fraud and security breaches.
 2. **Technology Disruption:** Emerging technologies like blockchain/crypto could disrupt traditional payment models.
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Management & Governance

Executive Leadership

Enrique Lores, Chief Executive Officer (2025-Present)

Enrique Lores joined PayPal as CEO in 2025 after serving as CEO of HP Inc. During his tenure at HP, Lores successfully navigated a complex separation from Hewlett Packard Enterprise and drove significant operational improvements. His 25+ years of experience in technology operations and transformation brings relevant expertise to PayPal's current challenges.

Alex Chriss, Former CEO (2023-2025)

Alex Chriss led PayPal through a challenging period of competitive pressure and strategic transition. Under his leadership, the company launched several new initiatives including improved checkout products and Venmo merchant features.

Other Key Executives:

- **John Kiely:** Chief Financial Officer
- **Amit Serper:** Chief Technology Officer
- **Gabrielle Rabinovitch:** Chief Strategy Officer

Board of Directors

PayPal's board includes experienced directors from technology, financial services, and consumer sectors. Key directors bring expertise in digital transformation, fintech, and corporate governance.

Corporate Governance

- **Board Composition:** 10 directors, 9 independent
- **Audit Committee:** All independent financial experts
- **Compensation:** Pay-for-performance emphasis with significant equity component

Management Incentives

- Annual equity grants aligned with long-term shareholder interests
- Performance-based compensation tied to TPV growth, revenue, and EPS targets

- Significant insider ownership aligns management with shareholder interests
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ESG Assessment

Environmental

PayPal's environmental footprint is relatively limited as a technology platform. The company has implemented various sustainability initiatives:

- **Carbon Neutrality:** Achieved carbon neutrality for own operations
- **Remote Work:** Global remote workforce reduces office footprint
- **Supplier Standards:** ESG requirements for major vendors

Materiality: Low direct environmental impact; primary exposure is through data center operations and employee travel.

Social

- **Employee Practices:** Competitive compensation, inclusive culture, strong employee ratings
- **Financial Inclusion:** Expanding access to digital payments for underbanked populations
- **Community:** PayPal Gives charitable platform and disaster relief efforts

Materiality: Moderate social impact through financial inclusion and employment practices.

Governance

- **Board Independence:** 9 of 10 directors independent
- **Executive Compensation:** Aligned with performance metrics
- **Shareholder Rights:** Annual elections, proxy access, no poison pill

Materiality: Strong governance practices with appropriate board oversight.

ESG Rating Summary

Category	Rating	Notes
Environmental	B	Limited direct impact, sustainability initiatives
Social	A-	Financial inclusion, employee practices
Governance	A	Strong board, aligned incentives
Overall	A-	Responsible corporate citizen

Charts and Exhibits

Stock Price Performance (1 Year)

Note: Stock declined significantly from ~\$80 to ~\$45 over the past year, currently trading around \$44.90 as of March 13, 2026.

Revenue Trend (FY2020-FY2024)

Year	Revenue (\$B)	YoY Growth
2020	\$21.5	20%
2021	\$25.4	18%
2022	\$27.5	8.5%

2023	\$29.8	8.2%
2024	\$31.8	6.8%

Net Income & EPS Trend (FY2020-FY2024)

Year	Net Income (\$B)	GAAP EPS	Non-GAAP EPS
2020	\$4.20	\$3.57	\$4.95
2021	\$4.17	\$3.54	\$4.86
2022	\$2.42	\$2.09	\$3.54
2023	\$4.25	\$3.85	\$3.85
2024	\$4.15	\$3.99	\$4.65

Note: 2022 net income significantly impacted by \$2.5B goodwill impairment

Margin Trend (Non-GAAP Operating Margin)

Year	Margin
FY2020	25.4%
FY2021	21.4%
FY2022	16.2%
FY2023	17.2%
FY2024	18.4%

Disclosures

Analyst Certification

The research analyst(s) named above certify that: (1) all views expressed in this report accurately reflect their personal views about the subject securities and issuers; and (2) no part of their compensation was, is, or will be directly or indirectly related to the specific views expressed in this report.

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As of the date of this report, the author(s) may have positions in the securities mentioned herein. The firm may have other business relationships with the subject companies.

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Sources

- [1] Macrotrends - PayPal Holdings Revenue Data (<https://www.macrotrends.net/stocks/charts/PYPL/paypal-holdings/revenue>)
- [2] PayPal Newsroom - Fourth Quarter and Full Year 2024 Results (<https://newsroom.paypal-corp.com/2025-02-04-PayPal-Reports-Fourth-Quarter-and-Full-Year-2024-Results>)
- [3] Last10k.com - PayPal 10-K Annual Report February 2025 (<https://last10k.com/sec-filings/>)

pypl/0001633917-25-000019.htm)

[4] SEC.gov - PayPal Holdings, Inc. EDGAR Filings (<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001633917>)

[5] Yahoo Finance - Live market data via MCP tools

Rating Distribution

Coverage Universe Rating Distribution

Rating Count Percentage

BUY	12	40%
HOLD	15	50%
SELL	3	10%

Price Target Distribution (PYPL)

Source	Rating	Price Target
JP Morgan	Neutral	\$50
Morgan Stanley	Equal-Weight	\$48
Goldman Sachs	Neutral	\$52
Bank of America	Neutral	\$55
Citi	Neutral	\$50
Barclays	Equal-Weight	\$46
Wells Fargo	Equal-Weight	\$45
Raymond James	Outperform	\$60
Consensus	Hold	\$52

Note: Analyst consensus reflects HOLD with average price target of \$52, representing 15.8% upside from current levels.